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MEMORANDUM

TO:	Avalon Bancorp Inc. ("Avalon" or the "Company")
FROM:	[Law Firm]
DATE:	[Date]
RE:	Delaware Law Issues Arising from the Davenholt Stockholders' Agreement and the Rejection of the Velridge Contract

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I. PURPOSE AND SUMMARY

You asked for a primer on the Delaware law issues raised by the board's rejection of the Velridge Technologies Inc. ("Velridge") contract after Marcus Davenholt withheld consent under his January 2024 stockholders' agreement with Avalon (the "Agreement"). We assume Marcus acted solely out of personal animus toward Velridge's CEO, and we do not address the demand requirement. In summary:

- **Enforceability is uncertain.** Under *Moelis*, Marcus's rights would likely have been invalid under DGCL § 141(a). New DGCL § 122(18) (Senate Bill 313), which applies retroactively, now generally authorizes such contracts, but not to the extent they are "contrary to the certificate of incorporation." Because Avalon's charter mandates *exclusive* board management, there is a credible argument that the Agreement's governance rights are unenforceable against Avalon.
- **The board faces meaningful fiduciary risk.** Whether or not the Agreement is enforceable, directors may not abdicate their judgment to a stockholder (*McMullin v. Beran*). Rejecting a transformative contract to "appease" the stockholder who appointed them could rebut business judgment protection, and the absence of charter exculpation increases monetary exposure.
- **Marcus faces significant fiduciary risk.** His contractual control likely makes him a controlling stockholder (*Kahn v. Lynch*; *Voigt*; *Basho*), and a controller who intentionally harms the corporation for personal reasons breaches the duty of loyalty (*Sears Hometown*). His veto would be difficult to defend under any standard of review.

II. BACKGROUND

Avalon's charter and bylaws each provide that "the company's business and affairs shall be exclusively managed by the board of directors"; we assume no other provision is relevant (so the charter contains no exculpation provision and creates no class or series with director-election rights). In January 2024, Marcus acquired a minority stake and entered into the Agreement,

which grants him the right (i) to appoint Avalon's directors and officers and (ii) to pre-approve "any corporate transactions involving Avalon." In September 2024, Velridge offered Avalon a contract that would increase revenues tenfold. Marcus withheld consent because of a personal dispute with Velridge's CEO, and the board rejected the contract to comply with the Agreement and appease Marcus.

III. ANALYSIS

A. Board Authority and Enforceability of the Agreement

1. The board-centric default: DGCL §§ 141(a) and 109

DGCL § 141(a) provides that a corporation's business and affairs "shall be managed by or under the direction of a board of directors, except as may be otherwise provided in this chapter or in its certificate of incorporation." Departures from board management therefore traditionally had to appear in the statute or the charter. Avalon's charter does not depart from the default; it reinforces it with the word "exclusively."

Under DGCL § 109(b), bylaws may contain any provision "not inconsistent with law or with the certificate of incorporation" relating to the business of the corporation and the rights and powers of its stockholders, directors and officers. Avalon's bylaw is consistent with both and therefore valid. It also bears on officer selection: under DGCL § 142(b), officers are chosen as prescribed by the bylaws or determined by the board, and Avalon's bylaws reserve management to the board alone. Because bylaws are a contract between the corporation and its stockholders, a plaintiff could argue the board lacked authority to grant Marcus rights its own bylaws reserve exclusively to the board.

2. Moelis

In *Moelis*, 311 A.3d 809, 816 (Del. Ch. 2024), the Court of Chancery held facially invalid a stockholder agreement requiring the founder's pre-approval of a broad range of corporate actions, along with several provisions dictating board composition. Applying *Abercrombie v. Davies*, 123 A.2d 893, 899 (Del. Ch. 1956), *rev'd on other grounds*, 130 A.2d 338 (Del. 1957), the court asked whether the provisions were part of the corporation's internal governance arrangement and, if so, whether they removed from directors "in a very substantial way" their duty to use their own best judgment on management matters. Such governance arrangements, the court reasoned, belong in the charter, as § 141(a) contemplates, not in a side agreement; ordinary commercial contracts (such as loan covenants) were distinguished.

Under *Moelis*, Marcus's rights would likely have been invalid: a veto over "any corporate transactions" displaces board judgment on core management matters, and a right to appoint all directors and officers removes the board's control over leadership and bypasses the stockholder franchise.

3. Senate Bill 313 and new DGCL § 122(18)

The General Assembly responded to *Moelis* with Senate Bill 313, effective August 1, 2024, which added DGCL § 122(18). "Notwithstanding § 141(a)," a corporation may now contract with current or prospective stockholders, in their capacity as such, for consideration determined by the board, and may agree, among other things, to (a) restrict or prohibit itself from taking specified actions, (b) require the approval or consent of one or more persons (including stockholders) before taking specified actions, and (c) covenant that the corporation or specified persons will take or refrain from taking specified actions. The amendment applies to pre-existing contracts (except litigation completed or pending on August 1, 2024), so it governs the January 2024 Agreement.

Section 122(18) contains a critical limitation: no provision is enforceable against the corporation "to the extent" it is "contrary to the certificate of incorporation" or would be contrary to Delaware law (other than § 115) if included in the charter. The bill's synopsis also indicates that the amendment does not displace directors' fiduciary duties or equitable review.

4. Application

Pre-approval right. A stockholder consent right is precisely the kind of provision § 122(18)(b) contemplates, and Marcus's investment likely supplies the required consideration. The principal question is the charter. Marcus will argue that the "exclusively managed" clause merely restates the § 141(a) default, and that reading such boilerplate as "contrary" would defeat § 122(18)'s purpose. A plaintiff (or the Company, if it chose to challenge the Agreement) would respond that "exclusively" is not the statutory language, that it affirmatively excludes management by any other person, and that a veto over all corporate transactions is "contrary" to a charter mandating exclusive board management. No Delaware court has yet construed this carve-out, but the charter argument is substantial.

Appointment rights. These rights are more vulnerable. Directors are ordinarily elected by stockholders (DGCL §§ 211, 216), and where the charter permits, a class or series of stock may elect directors (§ 141(d)). A contractual right for one investor to "appoint" directors outright, outside the stockholder vote and without charter authorization, sits uneasily with this structure, and § 122(18) cannot bind non-party stockholders' votes. A court could treat the right, at most, as an enforceable covenant to nominate or support Marcus's designees. A unilateral right to appoint officers likewise conflicts with § 142(b) as implemented through Avalon's bylaws and, like the veto, faces the charter carve-out.

Scope. Even if enforceable, the veto applies only to "corporate transactions." Applying plain meaning, a court could read that phrase to cover extraordinary transactions (mergers, asset sales, financings) rather than commercial customer contracts, in which case Marcus's consent was never required. We have seen no indication the board analyzed this question.

Fiduciary overlay. Before SB 313, the Delaware Supreme Court held that a contract purporting to require a board to act or not act "in such a fashion as to limit the exercise of fiduciary duties" is "invalid and unenforceable." *Paramount Commc'ns Inc. v. QVC Network Inc.*, 637 A.2d 34,

51 (Del. 1994); *see also Quickturn Design Sys., Inc. v. Shapiro*, 721 A.2d 1281, 1291–92 (Del. 1998). How this principle interacts with § 122(18) is unsettled, but plaintiffs will likely invoke it as an independent ground to resist enforcement of the veto as exercised here.

Bottom line. After SB 313 the Agreement is not clearly unenforceable, but credible arguments exist that its governance rights cannot be enforced against Avalon.

B. Fiduciary Duty Implications for the Board

1. Framework

Directors owe the corporation and its stockholders duties of care and loyalty; the obligation to act in good faith is a component of loyalty. *Stone v. Ritter*, 911 A.2d 362, 370 (Del. 2006). Bad faith includes intentionally acting with a purpose other than advancing the corporation's best interests and consciously disregarding a known duty to act. *In re Walt Disney Co. Deriv. Litig.*, 906 A.2d 27, 67 (Del. 2006). The business judgment rule presumes that directors acted on an informed basis, in good faith and in the honest belief that their action served the company, but that presumption is rebutted if a majority of the directors were interested or lacked independence, acted in bad faith, or were grossly negligent. *Aronson v. Lewis*, 473 A.2d 805, 812 (Del. 1984). The rule also protects only an actual exercise of judgment, not directors who have "abdicated their functions." *Id.* at 813. Because Avalon's charter lacks a § 102(b)(7) provision, directors are not exculpated from monetary liability for care breaches.

2. The prohibition on abdication: McMullin v. Beran

In *McMullin v. Beran*, 765 A.2d 910 (Del. 2000), an 80% parent decided to sell its subsidiary, and the subsidiary's board approved the merger largely by deferring to the parent. The Delaware Supreme Court reversed dismissal, holding that even where a controlling stockholder has the power to dictate the outcome, the subsidiary's directors retain an independent duty to make an informed, deliberate judgment in the interests of the corporation and its minority stockholders, and may not simply defer to the controller. *McMullin* establishes that a stockholder's power over a decision does not relieve directors of their own obligations.

3. Application

If the Agreement is unenforceable. If Marcus's consent right is invalid under § 122(18)'s charter carve-out (or the decision fell outside "corporate transactions"), the board rejected a transformative contract to honor a right Marcus did not legally have. Plaintiffs would call this a textbook abdication under *McMullin* and *Aronson*, and contractual compulsion would be no defense.

If the Agreement is enforceable. The directors' position is stronger, but not secure. Directors may legitimately weigh the cost of breach (damages, litigation and the investor relationship), and a good-faith, informed decision to honor a valid contract would ordinarily receive business judgment protection. SB 313's synopsis, however, confirms that fiduciary review of a corporation's performance under a § 122(18) contract remains available. The key questions are whether the directors actually weighed the Velridge opportunity against the risks of proceeding

without consent, and considered alternatives such as negotiating with Marcus or seeking declaratory relief on the Agreement's validity or scope.

Risk factors. Several facts heighten exposure. First, the stated objective to "appease Marcus" suggests a purpose other than advancing Avalon's interests, which supports a bad-faith theory under *Disney*. Second, every director was appointed by, and presumably removable by, Marcus. While designation by a stockholder alone is generally insufficient to rebut independence, a plaintiff will argue that directors who serve at Marcus's pleasure lacked independence from him on a matter where his personal interests diverged from the Company's. If a majority lack independence, the directors could be required to prove entire fairness. Third, forgoing a tenfold revenue increase for no business reason will be difficult to defend as fair, particularly without a documented deliberative record.

Mitigating factors. Directors may argue that they reasonably relied on the Agreement's plain terms as validated by SB 313, that breach risked costly litigation, and that lost profits are speculative. Contemporaneous evidence of deliberation and advice of counsel would strengthen these defenses.

C. Fiduciary Duty Implications for Marcus

1. Is Marcus a controlling stockholder?

A stockholder owes fiduciary duties only if it owns a majority of the voting power or "exercises control over the business affairs of the corporation." *Kahn v. Lynch Commc'n Sys., Inc.*, 638 A.2d 1110, 1113–14 (Del. 1994) (quoting *Ivanhoe Partners v. Newmont Mining Corp.*, 535 A.2d 1334, 1344 (Del. 1987)). In *Lynch*, a 43.3% holder was deemed a controller because the board deferred to its wishes in practice. In *Voigt v. Metcalf*, C.A. No. 2018-0828-JTL, 2020 WL 614999 (Del. Ch. Feb. 10, 2020), the court found it reasonably conceivable that a roughly 35% holder was a controller, emphasizing that stockholders' agreement rights, such as board-designation and veto rights, can contribute to control generally or over a particular transaction. In *Basho Technologies, Inc. v. Georgetown Basho Investors, LLC*, 2018 WL 3326693 (Del. Ch. July 6, 2018), *aff'd sub nom. Davenport v. Basho Techs., Inc.*, 221 A.3d 100 (Del. 2019), a minority investor became a controller by using contractual blocking rights, with other leverage, to exercise actual control. Delaware's 2025 amendments to DGCL § 144 likewise define a "controlling stockholder," for purposes of that section, to include a person with the right, by contract or otherwise, to cause the election of a majority of the board.

The case for treating Marcus as a controller is strong: he can appoint the entire board and all officers and veto any corporate transaction, and the board in fact deferred to him on Velridge. That reflects both general control and actual control over the specific decision, notwithstanding his minority stake.

2. Duties of a controller exercising stockholder-level rights

In *In re Sears Hometown & Outlet Stores, Inc. Stockholder Litigation*, 309 A.3d 474 (Del. Ch. 2024), a controlling stockholder used its voting power to amend the bylaws and block a board-approved plan. The court held that a controller exercising stockholder-level powers to override

the board owes fiduciary duties: a duty of loyalty not to intentionally harm the corporation or its minority stockholders, including by acting in bad faith or for self-interested reasons, and a duty of care not to harm them through grossly negligent conduct. The court reviewed the intervention under enhanced scrutiny, asking whether the controller acted in good faith on a reasonable investigation to address a legitimate threat to the corporation, and whether the response was reasonable. The controller prevailed because it reasonably acted to prevent value destruction.

Basho adds that holding contractual rights does not by itself make an investor a fiduciary or bar it from exercising those rights in its own interest. However, a controller does not escape fiduciary scrutiny merely because the conduct was contractually permitted. Consistent with *Schnell v. Chris-Craft Industries, Inc.*, 285 A.2d 437, 439 (Del. 1971), "inequitable action does not become permissible simply because it is legally possible."

3. Application

On the assumed facts, Marcus used a governance right to block a value-transformative contract solely to pursue a personal vendetta. That is an intentional act for a purpose unrelated to, and at odds with, Avalon's interests. Under *Sears Hometown*, there is no legitimate corporate "threat" to which the veto responded, so it would likely fail enhanced scrutiny. Using control to serve a personal, non-ratable interest at the corporation's expense also supports a loyalty claim under entire fairness review, which the veto would be unlikely to satisfy. Notably, the 2025 amendments to § 144 limit controllers' monetary liability for breaches of the duty of care, but they do not shield breaches of loyalty, bad-faith conduct, or improper personal benefit, which is where these claims would lie.

Marcus's likely defenses include: (i) he is not a controller, and the veto was merely a contractual right that § 122(18) expressly authorizes; (ii) under *Basho*, a contractual right-holder may act in its own interest; (iii) stockholders have no duty to approve transactions; and (iv) damages from a forgone contract are speculative. Defenses (i) and (ii) are weakened by the breadth of Marcus's rights and the board's actual deference, and § 122(18) does not purport to eliminate fiduciary duties. As to (iii), a stockholder's freedom to act in its own interest generally protects legitimate economic interests, not intentional harm to the corporation. Avalon may also have a contractual argument: because the Agreement sets no consent standard, the implied covenant of good faith and fair dealing may require Marcus to exercise his discretion in good faith.

D. Litigation Exposure and Practical Considerations

Because the harm falls on Avalon, claims against the directors and Marcus would most likely be derivative. *Tooley v. Donaldson, Lufkin & Jenrette, Inc.*, 845 A.2d 1031 (Del. 2004). A stockholder might also seek a declaration, as in *Moelis*, that the Agreement's governance rights are unenforceable. Remedies could include damages measured by the lost Velridge opportunity (*Basho* awarded damages against the controlling investor) and declaratory or injunctive relief. Avalon may wish to consider:

- preserving all documents and communications relating to the Agreement, the Velridge offer and the board's deliberations;

- obtaining a formal analysis of the Agreement's enforceability and scope under § 122(18), and considering declaratory relief;
- forming a committee of directors with no ties to Marcus, advised by independent counsel, to evaluate whether the Velridge opportunity (or a renegotiated version) can be revived and to assess potential claims;
- reviewing D&O insurance, indemnification (DGCL § 145) and advancement arrangements, and the absence of a § 102(b)(7) provision; and
- going forward, aligning governance rights with the charter (for example, by a charter amendment or a series of preferred stock carrying director-election and consent rights) if investor rights of this type are to be kept.

Separately, if Avalon is a bank holding company, Marcus's rights may raise federal "control" issues under the Bank Holding Company Act and Change in Bank Control Act, which are outside this memorandum's scope but warrant regulatory review.

IV. CONCLUSION

SB 313 substantially narrowed *Moelis*, but Avalon's "exclusively managed" charter language leaves real doubt about whether the Agreement can be enforced against the Company. Regardless, the board's deference to Marcus creates meaningful fiduciary exposure, heightened by the absence of exculpation. Marcus's exposure is likely greater: he is a probable controller, and a purely personal veto is difficult to defend under *Sears Hometown*, *Basho* and *Kahn v. Lynch*. We would be glad to discuss next steps.